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Weekly Market Commentary

Dear clients,

Markets continue to see heightened volatility amidst US tariff headlines, with the S&P 500 volatility index (VIX) breaching 60 on Monday and equities experiencing wild intraday moves. While fears over unbridled tit-for-tat tariff escalations were assuaged mid-week as President Trump put a 90-day pause on country specific tariffs for non-retaliating regions, there remains heightened uncertainty over how the long-term situation will unfold, particularly with regards to China after their tariffs were elevated to 125%.

Meanwhile, market participants have looked to the Fed for potential guidance amidst increasing recession fears, with Goldman Sachs placing odds of a US recession at 45%. That said, we think it's unlikely for the Fed to take preemptive action in the current economic environment as they focus on the inflation aspect of their dual mandate. We also think emergency cuts would send the wrong signal about the fragility of financial markets to investors right now.

Beneath the macro uncertainty, however, crypto specific catalysts remain strong. The SEC announced that non-yield bearing stablecoins will not be considered securities. The commission is also continuing to hold roundtables with the industry, with the next session on April 11 (today) covering crypto trading regulations. The macro uncertainty combined with long term crypto regulatory catalysts is driving the accumulation of BTC by long-term holders as evidenced by onchain data, in our view.

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Best,
The Coinbase Institutional Team

Weekly Market Call

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